

# Registration of Ships Act, 1970

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Ship Registration Act, 2027

Seal and Publication Date

2027.2.30.2

Amending Acts

1. Ship Registration (First Amendment) Act, 2029 2029.6.5.5
2. Judicial Administration Reform Act, 2031 2031.4.18.6
3. Judicial Administration Reform (Fourth Amendment) Act, 2043 2043.7.24
4. Judicial Administration Act, 2048 2048.2.16

Ratification and Publication Date

5. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.07
6. Some Nepal Laws Amendment Act, 2072 2072.6.14
7. Some Nepal Acts Amendment Act, 2072 2072.11.13
8. Some Acts Relating to Prevention of Money Laundering and Promotion of Business Environment Amendment Act, 2080 2080.12.30

Act No. 17 of the year 2027

An Act Made to Provide for the Registration of Nepali Ships

Preamble: Whereas it is expedient to provide for the registration of Nepali ships,

His Majesty King Mahendra Bir Bikram Shah Deva has enacted this Act with the advice and consent of the National Panchayat. Chapter-1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act may be called the "Ship Registration Act, 2027".  
(2) This Act shall apply throughout Nepal repealed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and shall also apply to any ship registered under this Act, wherever it may be, and to the owner, master and crew of such ship.  
(3) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-  
(a) "Ship" means a vessel suitable for navigation, whether or not used for the purpose of gain, of any tonnage or any description, and this word also includes the hull, keel, rigging and equipment of any vessel of any class or size propelled by sail, oar, steam or motor.  
(b) "Merchant Ship" means a seagoing ship of ten gross register tons or more carrying capacity used or

intended to be used for the carriage of persons or goods by sea, or for fishing, towing or carrying on any other kind of maritime operation at sea.

(c) "Boat" means a navigating craft of less than ten gross register tons carrying capacity used or intended to be used for the carriage of persons or goods, or for fishing, towing or carrying on any other kind of navigation operation on water.

(d) "Nepal Ship Office" means the Nepal Ship Office established pursuant to sub-section (3) of section 4. Amended by the First Amendment. (e) "Registrar" means the Registrar appointed pursuant to sub-section (3) of section 4 of this Act.

(f) "Prescribed" or "as prescribed" means prescribed or as prescribed by the Rules made under this Act.

## Chapter-2

### Nationality of Ships

#### 3.

Acquisition of Nationality by Ships: A ship registered under section 4 and having the right and duty to fly the merchant ship flag of Nepal repealed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. shall acquire Nepali nationality and such ship shall be deemed to be a Nepali ship.

Chapter-3 General Provisions

4. Registration of Ships: (1) The following merchant Nepali ships shall be registered in the Ship Register Book of the Nepal Ship Office under this Act:- (a) Ships in which at least 51 percent of the shares are owned by a Nepali citizen or an organized institution established under the prevailing Nepali law, (b) The principal place of business of the organized institution referred to in clause (a) is within Nepal repealed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., (c) The manager appointed for the operation of the organized institution operating the ship and the majority of the members of the Board of Directors formed are Nepali citizens, (d) The owner or co-owners of the ship have agreed and applied to register their ship in the Ship Register Book of the Nepal Ship Office, and (e) The previous foreign registration of the ship, if any, has been canceled. (2) The fee and procedure for registering a ship shall be as prescribed. (3) For the purpose of registering ships, the Government of Nepal shall, by publishing a notice in the Nepal Gazette, establish the Nepal Ship Office and appoint a Registrar.

5. Master (Chief Officer) and Other Crew to be Nepali Citizens: (1) The master (chief officer) and at least 75 percent of the other crew of a Nepali ship shall be Nepali citizens.

Provided that, in case of special necessity, as a temporary arrangement, the Government of Nepal may permit the appointment of Nepali citizens as master (chief officer), other crew and officers of a Nepali ship in such a manner that the percentage reaches 75 percent by the eighth year from the second year of registration of that ship, at a proportionate percentage per year. (2) Notwithstanding anything contained in sub-section (1), no citizen of a country which is in a state of war with Nepal repealed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. shall be appointed as master (chief officer), crew or employee of a Nepali ship. (3) When appointing the master (chief officer), crew or employees of a Nepali ship, preference shall be given to Nepali citizens.

Chapter-4 Ship Register Book

6. Register Book: The Nepal Ship Office shall maintain a Register Book of Nepali ships, and such Register Book and extracts thereof shall be deemed to be public documents. Any interested person may inspect such Register Book or extract.

7. Two Kinds of Register Book: (1) The Ship Register Book shall be of two kinds as follows:- (a) Merchant Ship Register Book, and (b) Boat Register Book. (2) Merchant ships of ten gross register tons or more carrying capacity shall be registered in the Merchant Ship Register Book, and vessels of less than ten

gross register tons carrying capacity, whatever purpose they are put to (service planned) or whatever waterway they navigate, shall be registered in the Boat Register Book. (3) The format of the Register Books shall be as prescribed. 8. Boat Register Book: The Boat Register Book shall be a record of Nepali boats listed in order of registration, showing identification marks or numbers, and shall contain all necessary descriptive details of the boat, including the name, address and principal place of business of its owner. 9.

Merchant Ship Register Book: (1) The Merchant Ship Register Book shall be a record of merchant ships containing the following documents:- (a) Main Book, and (b) Its set of supporting documents. (2) The Main Book shall consist of inserted parts kept within one volume, and each inserted part shall contain the following documents:- (a) Descriptive folio, (b) Ownership folio, and (c) Folio of Charges and Restrictions. (3) Each merchant ship shall be registered in a separate inserted part of the Main Book, and each inserted part shall be titled in the volume mentioning the inserted part number, serial number of the Main Book, name of the relevant ship, and its call (code) number or letters or both. 10. Descriptive Folio: In the descriptive folio part of the inserted part in the Main Book, the following details of the relevant ship shall be recorded:- (a) Type of ship according to motive power (such as sail, steam, turbine, diesel, diesel-electric, etc.), (b) Place of registration, (c) Number of decks, masts and funnels, (d) Gross and net register tonnage, (e) Type of ship and the purpose for which it is to be employed, (f) Material of construction (such as wood, concrete, iron, steel or composite), (g) Principal dimensions (length overall measured from stem to taffrail at the main deck, breadth at seventy, depth from keel to main deck), (h) Details of motive power (number and type of engines, number of cylinders, horsepower, number and type of boilers, name of engine builder and year built), (i) Name of shipbuilder, place where built and year of launching, (j) Draft on the summer load line showing carrying capacity, (k) Dead weight capacity at summer load line, (l) Freeboard from summer load line expressed in inches and centimeters, (m) Maximum speed of the ship in ballast and fully loaded condition, (n) Number of passengers that can be carried, (o) Minimum number of crew and employees required for safety of navigation, (p) If previously registered elsewhere, place of previous registration and previous nationality, (q) Date of current registration and date of issue of Certificate of Registry, and (r) Other details as available necessary for identification of the ship. 11.

Ownership Folio: (1) The ownership folio of the inserted part in the Main Book shall state the name, address and principal place of business of the owner or owners of the ship. (2) If there are two or more owners of the ship, the share or number of shares held by each shall also be mentioned in the ownership folio, and only the person or organized institution stated to be the owner of the ship in the ownership folio shall be deemed to be the true owner of the ship. 12. Charge and Restriction Folio: (1) The charge and restriction folio of the inserted part in the Main Book shall state all mortgages and other rights creating a charge over the relevant ship or any part thereof, sub-charges over such rights, charter-party agreements, rights of use and enjoyment, rights of pre-emption, and also all restrictions on the sale of the ship. (2) Each inserted part shall contain all documents supporting the matters stated in that part, and those documents shall be filed together. 13. Other Books Maintained at Nepal Ship Office: In addition to the Ship Register Book, the Nepal Ship Office shall also maintain the following books:- (a) A book attached to the Main Book for keeping a list, as received, of applications, complaints and objections relating to the registration of any particular ship, (b) An alphabetical index of ships prepared, mentioning the Register Book in which the ship is registered and also the inserted part thereof, and (c) An alphabetical index of persons or organized institutions having interests in ships, prepared mentioning the Register Book in which the interest is recorded and also the inserted part thereof, stating the name of such person or institution. Chapter-5 Certificate of Nationality Added by the First Amendment. 14. Certificate of Registry: (1) After a merchant ship is registered in the Register Book of the Nepal Ship Office, the Registrar shall, upon payment of the prescribed fee, issue a certified copy of the entry

made in the Register Book, and the certified copy so issued shall be the certificate of nationality of the ship and shall be deemed to be the Certificate of Registry. The form of this Certificate of Registry shall be as prescribed. (2) The Certificate of Registry issued pursuant to sub-section (1) shall be kept on board the ship at all times. (3) The Certificate of Registry shall be deemed a public document. (4) If the name, tonnage, class or other main details of the ship are altered, such ship shall be issued a new Certificate of Registry upon payment of the prescribed fee. 15.

**Not to Alter Certificate of Registry:** No owner, master (chief officer) or any other person shall make any addition or alteration to the Certificate of Registry. 16. **Provisional Certificate of Nationality:** (1) Repealed by the Some Nepal Laws Amendment Act, 2072. A Nepali Consulate or Diplomatic Mission may, upon payment of the prescribed fee, issue a Provisional Certificate of Nepali Nationality to a ship in the following circumstances:- (a) If persons entitled to own a Nepali ship, having obtained a recommendation from the Nepal Ship Office, acquire ownership of a ship lying in a foreign port, and such acquiring persons or any of them, or the master (chief officer) of such ship declaring that he is authorized to apply, make an application to the nearest repealed by the Some Nepal Laws Amendment Act, 2072. Nepali Consulate or Diplomatic Mission for a Provisional Certificate of Nepali Nationality, declaring the intention to register the ship at the Nepal Ship Office. (b) If, while a Nepali ship is lying in a foreign port, the Certificate of Registry is lost or damaged, or if any change occurs in the particulars stated in such certificate, the master (chief officer) of such ship makes an application to the nearest repealed by the Some Nepal Laws Amendment Act, 2072. Nepali Consulate or Diplomatic Mission for a Provisional Certificate of Nepali Nationality. (2) The form of the Provisional Certificate of Nationality shall be as prescribed and shall contain the following details:- (a) Name of the ship, (b) Date and place of purchase of the ship, (c) Names and addresses of the persons purchasing the ship, (d) Name of the master (chief officer), and (e) Tonnage, build and description of the ship. 17. **Validity Period of Provisional Certificate of Nationality:** While proceedings for the registration of the ship are pending, the ship may be navigated under the Provisional Certificate of Nationality for a period of six months from the date of issue of the Provisional Certificate of Nationality, or until the ship arrives at any port in India or Pakistan, whichever occurs first, and in such case the Provisional Certificate of Nationality shall be treated as the Certificate of Registry. Provided that, except for clause (b) of sub-section (1) of section 16, no ship shall obtain a provisional certificate more than once. 18. **Surrender of Provisional Certificate:** After the ship, for which a Provisional Certificate of Nationality has been issued under section 16 of this Act, obtains the Certificate of Registry, the Provisional Certificate of Nationality of such ship shall be surrendered to the Nepal Ship Office. **Chapter-6 Name of Ship and Place of Registration** 19. **Name of Ship:** (1) Every Nepali merchant ship shall have a name.

Such name shall not be changed without the permission of the Registrar, and two Nepali ships shall not bear the same name. (2) A Nepali merchant ship fitted with a radio broadcasting station or radiotelephone shall also have an internationally registered call sign (code) name. (3) The name of every Nepali merchant ship shall be inscribed on both sides of its bow, and its name and place of registration shall be inscribed on the stern. 20. **Place of Registration:** The place of registration of all Nepali ships shall be Kathmandu. **Chapter-7 Transfer of Ships** 21. **Transfer of Ship to be Recorded in Register Book:** The transfer of a Nepali merchant ship or a Nepali ship under construction, and any charge encumbering such ship, shall be recorded in the Ship Register Book. 22. **Declaration Required for Transfer:** If a registered ship or a share in such ship is transferred to the name of any person or organized institution, such person or, in the case of an organized institution, the person authorized on behalf of such institution, shall not be treated as the owner of the ship until he makes a declaration before the Registrar concerning such transfer, together with proof of qualification to own a Nepali ship, and signs it. 23. **Prohibition on Transfer to Foreigner:** No share or partial ownership of a

Nepali ship shall be transferred to the name of a foreign citizen or a foreign organized institution, nor shall any transaction be made creating a liability towards such foreign citizen or institution on a Nepali ship, in a manner contrary to section 4. Chapter-8 Cancellation of Registration 24. Circumstances for Cancellation of Registration: (1) If a Nepali ship falls into the following circumstances, the registration of such ship shall be cancelled:- (a) If it is permanently withdrawn from maritime trade, (b) If it is lost, (c) If it is destroyed, (d) If it is rendered permanently unfit for use, and (e) Amended by the First Amendment. If the conditions mentioned in section 4 or 5 are not complied with. (2) After a ship falls into the circumstances specified in sub-section (1), the owner of such ship shall give notice thereof to the Registrar within fifteen days from the date of knowledge of such fact. 24a.

Government of Nepal May Order Inspection or Require Information: (1) The Government of Nepal may, at any time, depute a team of authorized persons to inspect a Nepali ship registered under this Act and to examine the work and activities of the organized institution managing the operation of such ship. (2) The Government of Nepal may, by order, stipulating a period of at least fifteen days, require the submission of necessary information and progress reports relating to the work and activities of the organized institution managing the operation of a ship under this Act, and upon such order, it shall be the duty of the chief person of the relevant organized institution to submit such information or report. 24b. Acts to Constitute Piracy: (1) If any person, by taking control of a ship or by threatening to immediately kill or cause grievous hurt to any person on board, or by using or threatening to use dangerous weapons, plunders the cargo on the ship, or damages such ship or any goods thereon with such intent, it shall be deemed to constitute piracy. (2) No person shall, knowing that goods are pirated property, purchase, use, or sell or distribute such goods to any person. Chapter-9 Miscellaneous Amended by the Some Acts Relating to Prevention of Money Laundering and Promotion of Business Environment Amendment Act, 2080. 25. Offences and Penalties against Ships: (1) The following penalties shall be imposed for the following offenses:- (a) If a ship is operated without registration contrary to sub-section (1) of section 4, or if a ship is registered by submitting false details, the owner of such ship shall be liable to imprisonment for up to two years or a fine of up to one hundred thousand rupees or both, (b) If any addition or alteration is made to the Certificate of Registry contrary to section 15, such act shall be deemed an offense relating to documents under prevailing law and shall be punished accordingly, (c) Added by the First Amendment.

If an offense under sub-section (1) of section 24b is committed, imprisonment for ten to fifteen years and a fine equal to the amount of the stolen or damaged property,

(d) If an offense under sub-section (2) of section 24b is committed, imprisonment for five to seven years and a fine equal to the amount of the stolen or damaged property.

(2) In the case of a conviction under clause (a) of sub-section (1), the operation of such ship may be prohibited, or the right to fly the merchant ship flag of Nepal may be withdrawn or suspended for a certain period.

(3) In the case of a conviction under clause (c) or (d) of sub-section (1), the stolen or damaged property (bigo) shall be confiscated and compensated to the relevant owner. If the offender has already destroyed the stolen or damaged property, an amount equal to the value of such property shall be recovered from the offender and compensated to the relevant owner.

(4) If, contrary to section 19, the name and place of registration required to be written on the ship are not written, or an unauthorized name is written, or the name of the ship is changed without the permission of the Registrar, or if the information and progress report requested by the Government of Nepal under section 24a

are not submitted, the Registrar may impose a fine on the owner of such ship of up to fifty thousand rupees for the first offense and double for each subsequent offense.

(5) Any person who conspires, abets, assists or attempts to commit an offense under sub-section (1), or who advises, participates in any manner, facilitates in any other manner, or is an accomplice to such act, shall be liable to the same penalty as the principal offender. Added by the Some Acts Relating to Prevention of Money Laundering and Promotion of Business Environment Amendment Act, 2080. 25a. Government of Nepal to be Plaintiff: Cases under this Act shall be instituted by the Government of Nepal as plaintiff, and such case shall be deemed to be included in Schedule-1 of the National Criminal Procedure Code, 2074. Amended by the Some Acts Relating to Prevention of Money Laundering and Promotion of Business Environment Amendment Act, 2080. 26. Jurisdiction: The power to conduct initial proceedings and dispose of cases under this Act shall vest in the District Court specified by the Government of Nepal by publishing a notice in the Nepal Gazette. Until so specified, the Kathmandu District Court shall have the power to conduct initial proceedings and dispose of such cases. 27.